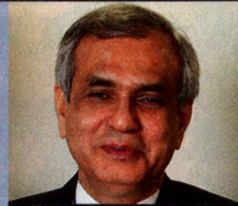




The BITE REPORT The finance minister lost a golden opportunity to



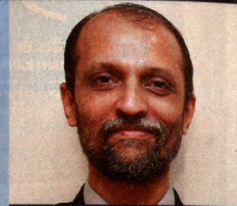
S. MAHENDRA DEV



RAJIV KUMAR



SIDDHARTHA ROY



AJIT RANADE

LIKES

- Announcement of next green revolution
- Fiscal consolidation and tax reforms
- National Social Security Fund for unorganised sector

- No new schemes, so less clutter
- Acceptance of fiscal consolidation roadmap
- Transparency in budget making

- Fiscal consolidation to boost investor confidence
- Focus on consumption, investment growth
- Reforms in financial sector

- Tax reduction, keeping service tax at 10 per cent
- Reforms in banking and coal sectors
- Promise of GST and new tax code

DISLIKES

- Too much tinkering with indirect taxes
- No action plan, no roadmap
- Hike in petroleum prices

- Service tax on rail freight
- Virtually nothing to increase agri output, tackle food price inflation
- Hike in petro prices

- Hike in petro prices
- No roadmap for curbing inflation
- Low capital expenditure

- Not enough on fiscal consolidation
- Too much of tinkering with indirect taxes
- Lost opportunity to make a few bold reforms

WORRIES

- Too much reliance on rain gods; private investment may not pick up to help tackle structural shortages in agriculture
- Implementation of delivery systems
- Inflation—both food and non-food are rising.

- Structural issues that have led to stagnation in agriculture
- Private investment may not pick up hurting growth
- Global conditions are gloomy and will hurt exports and employment in labour intensive sectors

- Lag in agricultural growth
- Steps like petro price hike at this stage will fuel inflation and hurt all
- Rise in interest rates can hurt investment cycle just when it has started picking up

- Inflation is going to be in the territory of 6-7% and anything higher can damage growth prospects
- Interest rates can go up and dampen consumer confidence and investments
- Issues of internal security can dampen business

FORECAST FOR 2010-2011*

Inflation	4.5%
Interest*	8%
Rs-\$ rate	44
GDP	8.25%

Inflation	6%
Interest	8.25%
Rs-\$ rate	44
GDP	7.8%

Inflation	5%
Interest	8%
Rs-\$ rate	46.5
GDP	8.5%

Inflation	6%
Interest	8.25%
Rs-\$ rate	44
GDP	8.2%

THE BUDGET RATING



* 10-year Government securities